

JPM CHINA SUMMIT: Day 1 Wrap - Robotics, AI CAPEX & FA, Export Champions

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**** Sales Commentary only**

Overall Day 1 feedback from the summit points to a still cautious but selectively constructive stance on China. Most investors remain underweight China at a top-down level, citing weak fundamentals, lack of broad-based macro recovery, and lingering skepticism around property—with the sustainability of property recovery still a question mark—though there is growing recognition that policy support is incrementally improving and downside risks may be better priced. Interest is highly selective, with strong engagement around AI and semiconductors (particularly equipment and domestic supply chains), industrials and automation, energy transition, and power infrastructure. Investors highlighted names such as AMEC in tech equipment, and industrial leaders including Sany Heavy, Weichai, Techtronic, and Minth. There was continued interest in power equipment and materials while views on EVs and batteries are turning more mixed amid margin pressure and lithium price concerns. Property is seen as stabilizing only in select Tier 1 locations, rather than a durable recovery theme. Most investors' interest remains on high-quality industrial and tech leaders while closely monitoring geopolitical uncertainty and policy-driven market moves. Stay tuned for further updates on NEV/ESS company meetings!

Industrial Innovation - Robotics

Our expert session reaffirms that humanoid and embodied AI robots are firmly established as a long-term structural growth theme, though the industry remains in an early, validation-heavy phase. Near-term progress will be driven less by headline model breakthroughs and more by incremental advances in hardware reliability, system architecture (VLA + world models), and high-quality data generation. Commercial value is expected to first emerge in structured industrial settings—such as logistics, manufacturing, and pharmacies—while broader generalization and household adoption are likely to remain longer dated. Over the next 1–3 years, China is positioned to lead real-world deployment as pilots scale and ROI becomes demonstrable, laying the foundation for more meaningful volume growth in the longer term.

Investor questions focused on understanding key leadership aspects of humanoid robots, including brain (algorithm), hardware and cost leadership, as well as bottlenecks for accelerating adoption. The session with Harmonious Drive Systems (688017 CH) attracted high investor interest, with the company maintaining stable product quality and only a small gap versus Japanese peers, while offering substantial price advantages (~50%) to capture meaningful volumes at top global robotic players such as KUKA, ABB, and Yaskawa. Harmonic drive's orders from leading customers have already exceeded last year's full-year volume, resulting in an order book well above current capacity. Notably, investor questions during the robotics session also centered on the trade-off between harmonic (precision) and planetary (cost competitiveness) drive systems and which components will dominate in commercialization. Many investors also asked about the competitiveness of Korean and Japanese players, including Boston Dynamics and Hyundai Motor Group. Overall, investors remain constructive on humanoid robots with multiple upcoming events including the Teslabot launch & commercialization. ([Karen Li - Robotics in Transition : IPO pipelines, margin surprises, and global race for scale](#))

Growth in AI capex is a multi-year thematic - with spillover impacts on the FA industry.

Interesting to note a constructive tone from **Shenzhen Inovance (300124 CH)** management, with AI-related demand and domestic substitution driving a multi-year growth opportunity. While near-term margin pressure persists due to cost inflation and

intensifying competition in the NEV segment, scale benefits, pricing actions, and portfolio diversification are expected to support a more stable margin profile over the medium term. The company **cited a strong demand outlook driven by Semi, CNC, and machine tools, with machine tools seeing meaningful spillover demand from AI data center buildout (cooling and aluminum/metal processing), in addition to strong semi industry demand**, positioning 2026 as another upcycle year with pricing increases of (5-20%) to offset cost inflation.

EXPORT CHAMPIONS - Auto Parts, Power Equipment & Construction Machinery

Attended meetings with Sany Heavy (600031 CH/6031 HK), Fuyao Glass (3606 HK), and Huaming Power (002270 CH), where investors' key questions centered on overseas market expansion and global competitive dynamics. **Sany highlighted** resilient growth momentum despite FX and relatively weaker financing capabilities compared to global peers (CAT US, Komatsu in JP), underpinned by strong competitiveness in sub-100 tonne excavators and accelerating overseas expansion, particularly in Africa, Latin America, and Southeast Asia. While technology gaps and financing persist in ultra-large equipment and developed markets, management emphasizes disciplined growth, improving service capability, and a favorable replacement cycle in domestic China to sustain above-industry growth without compromising profitability or cash flow. **Huaming highlighted** its technology and cost leadership in the global tap changer market, set to benefit from high entry barriers and growing global customer demand for dual sourcing away from MR (the global market leader, Germany). While domestic China demand is mature, the company focuses on the EU, Turkey, and US markets to drive growth, supported by strong order momentum and long-term electrification demand. Management remains confident in sustaining double-digit growth and expanding global market share over the next few years, despite intensified competitive responses from incumbents. **Fuyao Glass highlighted** its improving mix toward higher value-added NEV and functional glass, underpinning a sustainable 37–38% GPM outlook (despite cost inflation impact), while strategically positioning itself with a leading US OEM and expanding from side windows into panoramic and sunroof products, with further shipment growth as capacity gradually shifts from China to overseas. Competitive dynamics are favorable as Japanese peers face capacity and raw material constraints, while EU suppliers are pressured by higher energy and labor costs, supporting further m/s gains in the EU and US.

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